Ceasefire Holds

S&P 500 −0.10% to 6,818. CPI surges to 3.3% on war-driven energy shock. Core holds at 2.6%. Islamabad talks begin Saturday. Eighth winning session streak ends.

THE SESSION

The S&P 500 slipped 0.10% to 6,818 on Friday, ending its run just short of an eighth consecutive winning session. The session opened higher after March CPI data landed roughly in line with expectations, but gains faded through the afternoon as traders positioned ahead of the weekend's Islamabad negotiations. The Nasdaq Composite outperformed, adding 0.34%, lifted by semiconductors: AMD surged 3.49%, NVDA gained 2.63%, TSM rose 1.40%, and LRCX added 1.89%. The Dow lagged, falling 0.56%, weighed by defensive names giving back some of the week's relief-rally gains. The VIX settled at 19.33, down marginally, reflecting a market that has calmed considerably from the March extremes but is not yet complacent.

The CPI report was the session's main data event. Headline inflation jumped to 3.3% year-over-year, with a 0.9% monthly increase—the largest since 2022—driven almost entirely by gasoline, which surged 21.2% in March as the Iran war sent crude prices above $100. But the market found its footing in the core reading: core CPI rose just 0.2% month-over-month and 2.6% year-over-year, slightly below consensus. The divergence between headline and core tells the story the market wanted to hear: the energy shock is real but has not yet broadened into services or wages. The Fed's path remains on hold—no cuts, but no hikes either—and that was enough to keep the tape from unraveling.

For the week, the S&P 500 gained more than 3%, its best weekly performance since November, with the Dow reclaiming positive territory for the year. The ceasefire announced Tuesday catalyzed the rally, and the market spent the rest of the week testing whether the optimism was warranted. Friday's flat close suggests the answer is: cautiously, yes—but the real verdict arrives from Islamabad.

IOWN Tactical: The S&P 500 has recovered roughly 7% from its March 30 low near 6,341 and reclaimed its 200-day moving average. The ceasefire rally has been constructive, but the portfolio remains positioned for sustained uncertainty. Islamabad is a framework negotiation, not a resolution—and the distinction matters for positioning.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

HUT +4.20% — GROWTH PORTFOLIO

Bitcoin's 2.07% advance to $73,281 lifted the crypto miners. HUT extended its ceasefire-week rally as digital assets benefited from both risk-on sentiment and the real-world adoption narrative around Iran's Hormuz toll system.

AMD +3.49% — GROWTH PORTFOLIO

Semiconductor momentum continued. AMD announced Q1 earnings on May 5 and the stock is pricing in strong data-center demand. TSMC's Q1 revenue beat reinforced the AI capex thesis. AMD has gained roughly 15% from its March low.

NVDA +2.63% — GROWTH PORTFOLIO

Extended its winning streak on broad semi strength. Jensen Huang's $1 trillion Blackwell/Vera Rubin revenue outlook through 2027 continues to anchor the AI infrastructure narrative.

LRCX +1.89% — DIVIDEND STRATEGY

Wafer fabrication equipment demand remains robust as foundries invest in leading-edge capacity. LRCX has recovered meaningfully from the March selloff as the geopolitical risk premium fades from the semi sleeve.

VLO +1.58% — DIVIDEND STRATEGY

Gulf Coast refining margins are widening as the Iran war increases demand for U.S.-refined fuel. Reuters reported elevated crack spreads supporting the domestic refining complex.

DECLINERS

FTNT –4.96% — GROWTH PORTFOLIO

The session's sharpest decliner. Cybersecurity stocks sold off broadly after an Anthropic data exposure incident raised sector-wide concerns. FTNT reports Q1 on May 6; the stock is down 24% from its 52-week high.

ADP –3.69% — DIVIDEND STRATEGY

Gave back recent gains on no company-specific catalyst. The payroll processor may be seeing profit-taking after a strong run, with some analysts flagging the stock as oversold but questioning near-term earnings visibility.

DGX –3.19% — DIVIDEND STRATEGY

Health care stocks faced broad late-session selling pressure. DGX pulled back after outperforming during the conflict period as defensive positioning unwound.

GD –2.54% — DIVIDEND STRATEGY

Defense names retreated as the ceasefire narrative favored risk-on positioning over safe-haven trades. The $4.7B Lockheed PAC-3 contract announced today underscores sustained defense demand, but the sector is repricing for peace.

ABT –2.36% DIVIDEND STRATEGY

Joined the health care sector's afternoon decline. No company-specific news; the move reflects rotation out of defensive names that outperformed during the conflict.

HOLDINGS NEWS

LMT: Pentagon awards $4.7 billion PAC-3 MSE contract. Lockheed Martin secured a firm-fixed-price contract to accelerate Patriot interceptor production, part of a seven-year framework to triple annual output from roughly 600 to 2,000 missiles. Approximately 94% of the contract is funded through Foreign Military Sales, reflecting surging allied demand. The contract is constructive for LMT's backlog, though the stock fell 1.63% as defense names broadly gave back ceasefire-week gains.

AMD: Q1 earnings date set for May 5. AMD confirmed its first-quarter report after the close on May 5. The market is pricing in continued data-center GPU momentum, bolstered by TSMC's Q1 revenue beat and the OpenAI deployment partnership ramping in the second half of the year.

COIN: Secures Australian financial services license. Coinbase gained AFSL approval, strengthening its international expansion into the Australian market. The stock still declined 0.69% as the Clarity Act regulatory overhang and broader crypto-equity repricing offset the positive development.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

–0.62%

vs. DVY –0.67% | IWS –0.47%

GROWTH PORTFOLIO ✓ BEAT

+0.19%

vs. IUSG –0.12%

YEAR-TO-DATE

Dividend +8.80% vs DVY +8.01% / IWS +7.39%

Growth +2.33% vs IUSG –1.00%